



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

PRINCIPLES OF ACCOUNTING

PAPER 1 Multiple Choice

4051/1

1 hour 30 minutes

SPECIMEN PAPER

Additional materials:

Multiple Choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

Calculator (Optional)

INSTRUCTIONS TO CANDIDATES

Write your name, centre number and candidate number in the spaces on the answer sheet provided.

Read very carefully the instructions on the answer sheet.

Answer **all** questions. For each question, there are four possible answers, **A, B, C** and **D**. Choose the correct answer. Record your choice in **soft pencil** on the separate answer sheet provided.

INFORMATION FOR CANDIDATES

There are **forty** questions in this paper. Each correct answer will score **one** mark. Any rough working should be done on this question paper.

This question paper consists of 12 printed pages.

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- 1 Which business unit enjoys flexibility in decision making?
- A Partnership
 - B Private Limited Company
 - C Public Limited Company
 - D Sole trader
- 2 Which of the following is the last stage of the accounting cycle?
- A Financial statements
 - B Ledger
 - C Subsidiary books
 - D Trial balance
- 3 One advantage of using electronic method of processing data is
- A it is fast and accurate.
 - B it is less expensive to set up.
 - C it requires power back up.
 - D it requires skilled personnel.
- 4 The source of information for the sales journal is the
- A bank statement.
 - B debit note.
 - C invoice.
 - D voucher.
- 5 A cheque payment for rent is recorded in the
- A cash book.
 - B general journal.
 - C purchases day book.
 - D sales journal.
- 6 The entries from the Purchases Day book are posted to the
- A general ledger.
 - B private ledger.
 - C trade payables ledger.
 - D trade receivables ledger.
- 7 A trader depreciates his motor vehicles by 10% per annum on cost every financial period.
- Which accounting concept is applied?
- A consistency
 - B going concern
 - C historical cost
 - D prudence

- 8 Which of the following is classified as revenue expenditure?
- A cost of repairing a motor vehicle
 - B installation of a motor vehicle alarm system
 - C legal costs of changing ownership of a motor vehicle
 - D purchase of a new motor vehicle
- 9 What is the source of information for discount allowed in the Sales ledger control account?
- A cash book
 - B general journal
 - C purchases journal
 - D sales day book
- 10 Which of the following items is used to prepare a Bank Reconciliation Statement?
- A credit transfer
 - B direct debits
 - C dishonoured cheques
 - D unpresented cheques
- 11 The following account appeared in the Sales ledger of P. Dube, a sole trader.

S. Chimuti Account

2024		\$	2024		\$
May 1	Balance b/d	2 100	May 15	Returns inwards	2 000
7	Sales	12 000	17	Bank	3 000
16	Interest	800			

The amount owed by S. Chimuti on 31 May 2024 was

- A \$2 100.
 - B \$9 900.
 - C \$12 000.
 - D \$14 900.
- 12 Which of the following is a profitability ratio?
- A current ratio
 - B net profit percentage
 - C rate of inventory turnover
 - D quick ratio

13 Which of the following items is debited to the receipts and payments account?

- A** bar takings
- B** cost of refreshments
- C** ground rent
- D** secretary's salary

14 A local trader had a net profit of \$12 400 for the year.

The following errors were later discovered:

- (i) Electricity of \$780 was recorded as \$807.
- (ii) Discount received of \$400 was omitted from the books.

The correct net profit was

- A** \$11 973.
- B** \$12 027.
- C** \$12 773.
- D** \$12 827.

15 Which of the following is a direct cost for a local clothing manufacturing business?

- A** factory power
- B** factory rent
- C** machine lubricants
- D** tailor's wages

16 Which set of items is debited to a partner's current account?

- A** drawings and interest on drawings
- B** interest on drawings and interest on capital
- C** share of profits and interest on capital
- D** share of profits and partner's salary

17 A trader's gross profit at 31 December 2024 was \$27 500.

The following errors were later discovered:

- (a) Carriage inwards was understated by \$1 500.
- (b) Purchases were overstated by \$4 000.

The corrected gross profit was

- A** \$22 000.
- B** \$25 000.
- C** \$30 000.
- D** \$33 000.

- 18** The following information relates to the business of R. Hlengwani, a local trader for the year ended 31 December 2024:

	\$
Sales	40 000
Opening inventory	4 000
Purchases	30 000
Closing inventory	8 000
Railage on purchases	600

What was the cost of sales for the year ended 31 December 2024?

- A** \$13 300
B \$14 000
C \$26 000
D \$26 600
- 19** Shareholders' funds consist of
- A** authorized share capital and issued share capital.
B authorized share capital and reserves.
C issued share capital and reserves.
D reserves and debentures.
- 20** The following information was extracted from the books of Zviko, an indigenous trader:

Musa Account

2024		\$	2024		\$
Jan 1	Balance b/d	7 000	Jan 7	Bank	3 000
5	Sales	15 000		Discount allowed	500
			31	Balance c/d	<u>18 000</u>
		<u>22 000</u>			<u>22 000</u>

The balance on 31 January 2024 is the

- A** amount owed by Musa.
B amount owed by Zviko.
C amount paid to Musa.
D amount paid to Zviko.
- 21** Which of the following errors is revealed by a Trial balance?
- A** A receipt from a debtor recorded in the Cash book only.
B Goods sold to T. Jones entered in F. John's account.
C Motor vehicles bought for resale recorded in the Motor vehicles account.
D Stationery bought for cash not recorded in the books.

- 22** The following information was provided by Mlambo, a sole trader:

	\$
Inventory	6 000
Trade receivables	15 000
Trade payables	12 000
Rent receivable prepaid	5 000
Cash at bank	1 000

Total current assets were

- A** \$22 000.
B \$24 000.
C \$27 000.
D \$39 000.
- 23** A general dealer incurred the following costs:

	\$
Purchase of goods	1 200
Installation of a solar system	850
Wages	80
Extension of the shop	1 300
Carriage on purchases	50

What was the total revenue expenditure?

- A** \$1 330
B \$2 150
C \$2 180
D \$2 630
- 24** A payment to a supplier by cheque was not recorded in the books.

What was the effect after correcting this error?

	Bank	Trade payables
A	decreased	decreased
B	decreased	increased
C	increased	decreased
D	increased	increased

- 25** A trader provided the following information on 31 March 2024:

2024		\$
March 1	Total Trade receivables	40 000
31	Credit sales	75 000
	Cash sales	35 000
	Discount allowed	5 000
	Cheques received from trade receivables	32 000

What was the total trade receivables on 31 March 2024?

- A** \$38 000
B \$43 000
C \$78 000
D \$113 000
- 26** A trader provided the following information on 31 December 2024:

	\$
Sales	60 000
Cost of sales	30 000
Gross profit	20 000
Returns inwards	10 000
Net profit	10 000

What was the trader's mark-up?

- A** 20%
B 33.3%
C 40%
D 66.7%
- 27** B. Moyo a local trader provided the following information on 1 January 2024:

	\$
Motor vehicles	12 000
Trade receivables	2 000
Trade payables	1 000
Bank overdraft	1 900
Electricity owing	1 300
Rent receivables owing	600

B. Moyo's capital on 1 January 2024 was

- A** \$9 200.
B \$10 400.
C \$13 000.
D \$14 200.

- 28** A payment of wages by cheque for \$500 was credited to the Wages account.

What was the effect of this error on net profit?

- A** decreased by \$500
- B** decreased by \$1 000
- C** increased by \$500
- D** increased by \$1 000

- 29** The following account was extracted from the Sales ledger of Tatenda, a general dealer:

Tinashe Account

2024		\$	2024		\$
Oct 1	Balance b/d	1 000	Oct 31	Bank	1 600
24	Sales	<u>800</u>	31	Balance c/d	<u>200</u>
		<u>1 800</u>			<u>1 800</u>

Which transaction relates to the entry on 24 October 2024?

- A** Sold goods for \$800 cash to Tatenda.
- B** Sold goods for \$800 cash to Tinashe.
- C** Sold goods on credit for \$800 to Tatenda.
- D** Sold goods on credit for \$800 to Tinashe.

- 30** The following information appeared in the books of Sipho, a general dealer:

2023		\$
Jan 1	Rent received	100 Cr

During the year Sipho received \$5 500 by cheque for rent.

Rent owing on 31 December 2023 amounted to \$150.

The annual rent receivable on 31 December 2023 was

- A** \$5 450.
- B** \$5 500.
- C** \$5 600.
- D** \$5 750.

- 31** S. Nkosi, a local entrepreneur purchased a motor vehicle worth \$4 500 for business use.

He paid for the following additional costs:

- (a) Installation of a car radio \$50.
- (b) Motor fuel \$30.
- (c) Import duty \$900.

What was the value of the motor vehicle shown in the statement of financial position?

- A** \$4 550
- B** \$5 400
- C** \$5 450
- D** \$5 480

- 32** Motor vehicle repairs were recorded in the Motor vehicle account in error.

This error

- A** decreased net profit and decreased non-current assets.
- B** decreased net profit and increased non-current assets.
- C** increased net profit and decreased non-current assets.
- D** increased net profit and increased non-current assets.

- 33** The following information was taken from the books of a trader:

	\$
Provision for bad debts 1 January 2024	5 000 Cr
Trade receivables 31 December 2024	70 000

Provision for bad debts was maintained at 10% of trade receivables.

The provision for bad debts transferred to the Income Statement on 31 December 2024 was

- A** \$2 000.
- B** \$5 000.
- C** \$7 000.
- D** \$12 000.

- 34 A cash book of a sole trader had an overdraft of \$11 200 on 31 October 2024.

The Bank Statement for the month had the following items:

	\$
Bank charges	160
Interest on overdraft	40
Credit transfer: Tinashe	1 320
Direct debit: ZESA	150

The overdraft as per updated Cash Book was

- A \$9 850.
 B \$9 930.
 C \$10 150.
 D \$10 230.

- 35 The following account appeared in the books of an entrepreneur:

Packaging materials account

2024		\$	2024		\$
Nov 1	Balance b/d	70	Nov 9	Farai	20
6	Farai	300	30	Income statement	420
26	Bank	<u>150</u>	30	Balance c/d	<u>80</u>
		<u>520</u>			<u>520</u>

What is the entry on 9 November 2024 represent?

- A packaging materials returned by Farai
 B packaging materials returned to Farai
 C packaging materials supplied by Farai
 D packaging materials supplied to Farai

- 36 A cash book of a local entrepreneur had a debit balance of \$4 500 on 31 March 2024.

On the same date the following errors were discovered:

- (i) A cheque payment of \$280 was recorded as \$208 in the Cash book.
 (ii) A credit transfer of \$300 was not recorded in the Cash book.

The balance after updating the Cash book was

- A \$4 128.
 B \$4 520.
 C \$4 728.
 D \$4 872.

- 37 A Limited company provided the following information:

Authorised share capital	\$
200 000 Ordinary shares of 50c each	100 000
Issued share capital	
150 000 Ordinary shares of 50c each, fully paid	75 000

An interim dividend of 3 cents per share was paid during the year.

The interim dividend paid was

- A \$2 250.
 B \$3 000.
 C \$4 500.
 D \$6 000.
- 38 Extension costs of a building were treated as an expense in the Income statement.

What was the effect on net profit and non-current assets?

	Net profit	Non-current assets
A	decreased	decreased
B	decreased	increased
C	increased	decreased
D	increased	increased

- 39 The following Cash book was taken from the books of an entrepreneur:

Cash book

2024		Cash	Bank	2024		Cash	Bank
		\$	\$			\$	\$
July 5	Bank	700		July 5	Cash		700

What is represented by the entries in the Cash book on 5 July 2024?

- A Cash deposited into the business bank account.
 B Cash desposited into the proprietor's bank account.
 C Cash withdrawn from the bank for business use.
 D Cash withdrawn from the bank for personal use.

40 A business purchased a delivery van for \$20 000 on 1 January 2022.

The delivery van was sold for \$12 000 on 31 December 2024.

The accumulated depreciation on the delivery van amounted to \$7 000 on 31 December 2024.

What was the profit or loss on disposal?

- A** \$1 000 loss
- B** \$1 000 profit
- C** \$5 000 loss
- D** \$5 000 profit